

25CMCV01959 25CMCV01959

County: los-angeles

Division: Civil Law and Motion

Department: A

Hearing date: 2026-07-14

Motion: DEFENDANT'S DEMURRER TO THE FIRST AMENDED COMPLAINT

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Case Number: 25CMCV01959 Hearing Date: July 14, 2026 Dept: A

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL DISTRICT

MORRELL PRESLEY,

Plaintiff,

vs.

GENERAL

MOTORS, LLC,

Defendant.

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CASE NO: 25CMCV01959

[TENTATIVE]

ORDER RE: DEFENDANT'S DEMURRER TO THE FIRST AMENDED COMPLAINT

Dept.

A

DATE:

July 14, 2026

TIME:

8:30 A.M.

COMPLAINT

FILED: 11/19/2025

1st

AMENDED COMPLAINT FILED: 05/26/2026

TRIAL:

02/16/2028

MOVING

PARTY: Defendant General
Motors, LLC

RESPONDING

PARTY: Plaintiff Morrell Presley

1. Background

This is an action brought under the Song-Beverly Act. Plaintiff Morrell Presley ("Plaintiff") alleges that on October 19, 2020, he entered into a warranty contract with defendant General Motors, LLC ("Defendant") regarding a 2020 Chevrolet Silverado (the "Vehicle"). Plaintiff alleges that defects and nonconformities to warranty manifested themselves in the Vehicle within the applicable express warranty period, substantially impairing its use, value, and/or safety.

2. Discussion

Defendant demurs to the fourth cause of action for breach of implied warranty and fifth cause of action for fraudulent inducement – concealment in the First Amended Complaint ("FAC"). Defendant contends that these causes of action are time-barred and that the fifth cause of action for fraudulent inducement – concealment fails to adequately plead a cause of action for fraud. In opposition, Plaintiff contends that the FAC is adequately pled and not time-barred.

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747 (Hahn).) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleadings alone and not the

evidence or other extrinsic matters.” Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, supra, 147 Cal.App.4th at p. 747.)

The ultimate facts alleged in the complaint must be deemed true, as well as all facts that may be implied or inferred from those expressly alleged. (Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403; see also Shields v. County of San Diego (1984) 155 Cal.App.3d 103, 133 [stating, “[o]n demurrer, pleadings are read liberally and allegations contained therein are assumed to be true.”]) “The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

a. The FAC is not time-barred

Defendant

contends that the fourth and fifth causes of action are time-barred because they accrued when the vehicle was sold and the warranty contract established on October 19, 2020. Defendant contends that the action was therefore filed beyond the four-year statute of limitations for breach of implied warranty and the three-year statute of limitations for fraud.

However, the discovery rule permits the postponement of a statute of limitations period due to a plaintiff’s lack of discovery of the facts establishing the elements of their cause of action. (Daley v. Regents of the University of California (2019) 39 Cal.App.5th 595, 603-604.) Here, Plaintiff has alleged that “[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period.” (FAC ¶ 21.) Plaintiff has alleged that he did not discover Defendant’s wrongful conduct until September 27, 2025. (FAC ¶ 34.)

Defendant

contends that the FAC alleges that the Vehicle continued to exhibit symptoms of defects after failed repair attempts, and that this therefore indicates that Plaintiff had knowledge of Defendant’s alleged fraud at an earlier date. However, Plaintiff’s knowledge that the car required repairs does not

necessarily indicate knowledge of Defendant's alleged wrongful acts.

Based on

Plaintiff's allegation that he did not discover Defendant's wrongful conduct until September 27, 2025, the applicable statutes of limitations would run on September 27, 2028 and September 27, 2029. Therefore, this action was timely filed and the fourth cause of action for breach of implied warranty and fifth cause of action for fraudulent inducement – concealment are not time-barred.

b. The fifth cause of action for fraudulent inducement

– concealment is adequately pled

Defendant

contends that it owed Plaintiff no duty of disclosure because it did not have a direct transactional relationship with Plaintiff. Defendant is incorrect. A direct transactional relationship is not required to establish a duty to disclose. (OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 859 (OCM).) Defendant cites to LiMandri v. Judkins (1997) 52 Cal.App.4th 326 for the proposition that a duty to disclose may only arise in the context of a direct transactional relationship if there is no fiduciary relationship. Although this requires some level of transactional relationship, it does not require a direct transactional relationship as Defendant contends. (OCM, *supra*, 147 Cal.App.4th at p. 859; see also Bader v. Johnson & Johnson (2022) 86 Cal.App.5th 1094, 1132.)

Defendant also

cites to Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276 for the same proposition. The court in Bigler-Engler states that "Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." However, Bigler-Engler is distinguishable because the defendant in Bigler-Engler did not transact with the plaintiffs in any way, market directly to consumers like the plaintiffs, or otherwise have direct contact with consumers like the plaintiffs. (Bigler-Engler, *supra*, 7 Cal.App.5th at p. 314.) Here, by contrast, the FAC alleges that Defendant entered into a warranty contract with Plaintiff, and therefore had direct dealings with Plaintiff distinct from any dealings with the public at large irrespective of whether the sales transaction was conducted directly or through a dealership. (FAC ¶ 6.) Bigler-Engler is therefore inapposite.

Plaintiff has pled circumstances indicating that Defendant had exclusive knowledge of material facts not known to Plaintiff by stating, in the FAC, that Defendant manufactured and/or distributed the Vehicle, that Defendant had knowledge of the defect in the Vehicle through sources not available to consumers such as Plaintiff, and Plaintiff could not reasonably have been expected to learn of the defect until after purchase of the Vehicle. (FAC ¶¶ 6, 62-64.) Plaintiff has therefore adequately pled that Defendant had a duty to disclose.

Defendant also contends that Plaintiff failed to plead justifiable and actual reliance. However, Plaintiff alleged in the FAC that he was unaware that there were defects in the Vehicle, relied on Defendant's representations in marketing materials that the Vehicle was of high quality and lacked defects, and would not have purchased the Vehicle had they known of the defects. (FAC ¶¶ 64,68.) Defendant contends that, by issuing an express warranty, Defendant disclosed as a matter of law that the Vehicle may have had defects and therefore any reliance by Plaintiff on Defendant's marketing materials was not justifiable. However, here, Plaintiff specifically alleged that Defendant concealed its inability to repair the defect in the Vehicle. (FAC ¶ 68.) As this proposition is not disclosed as a matter of law by the existence of an express warranty, Plaintiff has adequately pled justifiable and actual reliance.

Defendant additionally contends that the fraudulent inducement – concealment claim is barred by the economic loss rule. Defendant cites *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 for the proposition that the economic loss rule bars fraud claims that result only in economic loss. *Rattagan* does not stand for this proposition; rather, the court in *Rattagan* expressly stated that claims for fraudulent concealment are expressly exempted from the economic loss rule. (*Rattagan*, supra, 17 Cal.5th at p. 38.)

Therefore, Plaintiff has adequately pled his fourth cause of action for breach of implied warranty and fifth cause of action for fraudulent inducement – concealment. The court will correspondingly overrule Defendant's demurrer.

3. Conclusion

Based on the
foregoing, the court OVERRULES Defendant's demurrer to the First Amended
Complaint.

Defendant is ordered to give notice.

IT IS SO ORDERED.

DATED: July 14, 2026

Hon. Elizabeth L. Bradley

Judge of the Superior Court